

Assalamu'alaikum Wr. Wb.

Ladies and gentlemen, let me stand in front of the audience to talk about the global economy.

It is a widely accepted view that globalization would not only benefit all countries across the world but would also work towards the betterment of the economy as a whole. Globalization was not only loose of boundaries of each country but associated with many complex things in a country including economics. A global economy is characterized as a world economy with a unified market for all goods produced across the world. It thus gives domestic producers an opportunity to expand and raise capacity according to global demands. Likewise, it also provides an opportunity for domestic consumers to choose from a vast array of imported goods. A global economy aims to rationalize the prices of all products globally.

While a global economy or globalization has the distinct advantage of raising world productivity and incomes and bringing about an improvement in the standards of living for all people at a global level, it has the dangerous side effect of growth with inequality. This has been evidenced in the less developed economies of India, China, and Brazil where the benefits of globalization have not percolated to the lowest levels. This has brought about a wide divide between the have-nots and the have-nots.

A Global Economy also leads to a shifting of jobs from the developed countries to the Third World Countries as wage rates are much lower here. This allows companies of the advanced nation to grow exponentially. For example, we might find computer chips produced in China to be exported to the USA for design which may be subsequently used in Japanese computers supplied across the world. This process is called "outsourcing" and leads to the exploitation of workers in Third World economies where income inequalities already exist.

The last, nonetheless, a global economy may be beneficial for the world at large. This may result in the economies of the world fighting issues such as global warming or maybe climate change.

Thank you for your kind attention.

Wassalamu'alaikum Wr. Wb.